

Scorta's "Stripe for Main Street M&A" Vision: A Critical Viability Assessment

TL;DR

- **The vision is directionally defensible as a *services* business but structurally fragile as an *infrastructure* thesis.** The core problem is frequency asymmetry: Stripe, Toast, Plaid and Qualia all became infrastructure by embedding into a *high-frequency, repeat-user* workflow, whereas a business owner sells once in a lifetime. Scorta can only inherit the infrastructure flywheel by re-anchoring on the repeat participants — lenders, search funds, PE, accountants — not one-time sellers.
- **The proposed "FICO score for Main Street" is the weakest pillar and is largely redundant.** A standardized SMB score already exists (FICO SBSS), the incumbents' real moat is pooled data (the SBFE cooperative's data warehouse of over 37 million small businesses and more than 89 million individual small-business accounts, D&B PAYDEX, Experian Intelliscore), and — critically — the SBA *removed the FICO SBSS prescreen mandate effective March 1, 2026*, demonstrating that even a government-endorsed standard SMB score is hard to keep entrenched. A private newcomer faces a cold-start data problem and a decades-long trust-building timeline.
- **The escrow ambition collides head-on with the very regulation that makes Scorta's brokerage legal.** The SEC M&A broker exemption (effective March 29, 2023) is unavailable if the broker "receives, holds, transmits or has custody of the funds or securities to be exchanged in the transaction"; running escrow breaks that condition, and building 50-state money-transmitter licensing costs seven figures. The realistic path is partnering with a licensed bank/trust — but the 2024 Synapse collapse shows that path carries its own reconciliation and counterparty risk.

Key Findings

1. **Frequency asymmetry is the central, unresolved flaw.** Every successful "Stripe of X" was anchored in a transaction the customer repeats constantly (payments daily, closings monthly for a title agent). A seller transacts once. Infrastructure economics require recurring usage that the seller side cannot supply.
2. **The realistic serviceable market is far smaller than the "\$10 trillion Silver Tsunami" narrative.** Of ~34.75 million U.S. businesses, ~28.5 million are nonemployer firms with

essentially no enterprise value. Only ~9,500 small-business transactions are recorded annually by BizBuySell, only 20–30% of listed businesses ever sell, and the “Silver Tsunami” has been a “trickle,” lengthening as owners’ average sale age drifts higher.

3. **The competitive field is crowded and better-capitalized on the wedge.** OffDeal (\$17M raised, Radical Ventures) and Baton (\$15.5M raised) PR Newswire are direct AI-native analogues; the score/data layer is occupied by FICO, D&B, Experian, Equifax/SBFE, Nav, and startups like Charm Solutions and Hansa; QoE automation is being built by Finsider.ai, Shepi, Rapid Diligence; and data plumbing (Codat, Rutter, Ocrolus, Middesk, Enigma) is far ahead.
4. **Regulation is the biggest under-priced risk**, spanning securities (M&A broker exemption custody rule), money transmission (50-state MTL), SBA agent rules (Form 159), state real-estate-license requirements for business brokers (~17 states), and unauthorized-practice-of-law exposure on AI-drafted legal documents.
5. **The sequencing is backwards.** Score-first cannot work — a score only becomes a standard when an underwriter relies on it, so lender integration must come first. And the correct near-term monetization is likely the buy-side SaaS tool for search funds (repeat buyers), not seller-side brokerage.

Details

Question 1 — Precedent Pattern-Matching: What Actually Turns the Flywheel

The “Stripe of X” pattern succeeds under a specific and repeatable set of mechanical conditions. Examining the canonical cases reveals which conditions Scorta can and cannot replicate.

What made the flywheel turn (the winners):

- **Stripe / Toast / Shopify — “own the money movement in a high-frequency workflow.”** Toast is the cleanest analogue to a vertical operating system. Its wedge was restaurant POS software, but payments became the monetization engine: in 2024 Toast reported \$4.1 billion in payments revenue versus \$706 million in subscription revenue, making payments 85%+ of total revenue (per Gusto Embedded’s analysis of Toast’s FY2024 disclosures), and payment processing revenue “can grow without any sales & marketing investment once the restaurant has been acquired.” Medium The flywheel turned because (a) restaurants transact hundreds of times *daily*, (b) that transaction stream generated proprietary revenue data that made Toast Capital lending decisions better (“Toast sees their customer revenues, and thus can rely on this data in making credit decisions”), Popular Fintech and (c) each add-on module (payroll, loyalty, inventory) raised switching costs. The mechanism is high-frequency repeat usage +

owning money movement + data compounding.

- **Plaid — “API distribution + data network effect.”** Plaid became infrastructure because a single integration gave developers access to 12,000+ financial institutions, [Itexus](#) and each new bank connection made the network more valuable to the next developer. It also co-chairs the FDX standard-setting body [Plaid](#) — a reminder that standard-setting is a multi-year institutional effort, not a product feature.
- **Qualia — the most instructive analogue, and a cautionary one.** Qualia built the system of record for **title & escrow agents** in real estate closings, and today “over 1 million real estate and mortgage professionals use Qualia,” [LinkedIn](#) powering ~15%+ of U.S. transactions. **The decisive structural fact: Qualia sold to repeat institutional professionals — title agents and loan officers who close transactions constantly — not to the one-time home seller.** Qualia identified title/escrow as “the central node of the transaction” and made *that professional* the customer. This is precisely the move Scorta has not yet made.

What stalled or failed (the losers):

- **Convoy — the frequency/margin trap.** Convoy raised “more than \$1 billion” (per PitchBook/Bloomberg), peaking at a \$3.8B valuation in its April 2022 round (Baillie Gifford, T. Rowe Price, Bezos, Gates), before its abrupt October 18–19, 2023 shutdown as the “Uber of trucking.” The mechanism of failure is directly relevant: “it was matching freight — but it wasn’t locking it,” [Logisticsnavigators](#) had no physical stickiness, thin margins, expensive customer acquisition, and unit economics that “never clicked.” [Logisticsnavigators](#) When the market turned, a marketplace without lock-in or proprietary data had no defense. A transaction-matching business without recurring lock-in is fragile.
- **BaaS middleware (Synapse) — infrastructure ambition without balance-sheet/regulatory rigor.** Synapse tried to be the infrastructure layer connecting fintechs to banks and collapsed in April 2024. Per the Yale Journal of International Affairs, “more than 100,000 people lost access to over \$265 million”; the trustee later identified a “\$65 million to \$95 million shortfall” between bank-held funds and amounts owed (Troutman Pepper, September 2024 report), because of commingled FBO accounts with unreconciled subledgers. This is the specific failure mode Scorta would inherit if it runs escrow via a middleware model.

The frequency asymmetry, addressed directly. The evidence is unambiguous: infrastructure capture historically requires *high frequency per customer* (Toast: daily; Qualia’s title agents: constant) or *strong network/data effects that compound with each transaction* (Plaid). Main Street M&A on the *seller side* has neither — a seller transacts once and never returns, generating no repeat revenue and thin proprietary data. This does not

doom the vision, but it means the “become infrastructure” playbook can only work if Scorta re-bases its frequency on the participants who *do* transact repeatedly (lenders, search funds, PE, brokers, accountants). This is the single most important strategic implication in this report.

Question 2 — Market Sizing, Rigorously

The denominator problem. Per the SBA Office of Advocacy (2024 FAQ), there are ~34.75 million U.S. businesses, but **81.9% (28,477,518) are nonemployer firms** and only 18.1% (6,274,916) are employer firms. [SBA Advocacy](#) Of nonemployers, ~86% are sole proprietorships. [SBA Advocacy](#) The Census Bureau confirms nonemployers “contribute less than four percent of overall sales and receipts.” **The overwhelming majority of “small businesses” in naive TAM math are sole proprietorships with no transferable enterprise value — they are not sellable assets.** This alone deflates the “\$10 trillion” narrative by an order of magnitude when converted to serviceable market.

The “Silver Tsunami” — over-claimed and delayed. The headline figures are real but routinely misused: ~2.34 million small businesses are Boomer-owned (Forbes/Census framing); [Forbes](#) other sources cite ~12 million Boomers with ownership in privately held businesses and “\$10 trillion worth of business assets expected to be transferred.” But skeptical practitioners are explicit that this has been a *trickle*, not a wave: Calder Capital’s Max Friar told BizBuySell “the silver tsunami remains a trickle.” [BizBuySell](#) Industry analysis notes the average business-owner retirement age has drifted from 65 to about 71, “lengthening” [Ownedandoperated](#) the transition and undercutting predictions made in the 2010s. An April 2026 McKinsey projection (cited secondhand, treat with caution) reportedly estimates ~6 million SMB transitions by 2035, with “over 1 million firms viable for sale representing up to \$5 trillion in enterprise value” [Becomebusinessbroker](#) — note “viable for sale” is far smaller than the raw Boomer-owned count.

The illiquidity reality, in numbers. This market is profoundly illiquid:

- **BizBuySell recorded 9,586 closed transactions in 2025** (total enterprise value \$7.95B), 9,546 in 2024 (\$7.59B) [Small Business Trends](#) — essentially flat. These are reported deals; the true total including off-market/unreported deals is not authoritatively tracked, with one industry estimate putting total annual U.S. small-business sales at 120,000–390,000 [Becomebusinessbroker](#) (wide, unverified range — flag as speculative).
- **Only 20–30% of listed businesses ever sell** (multiple broker sources converge here; one IBBA figure cited as “less than 20%” for the Main Street segment; [Worldwidebusinessbrokers](#) best brokers reach 40–50%). [Janesvillerradio](#) The rest “come home empty-handed.” [Janesvillerradio](#)
- The gap between businesses wanting to exit (estimated 3–6 million exploring exit at any

time) **Becomebusinessbroker** and fewer than ~15,000 active brokers **Becomebusinessbroker** is the genuine structural opportunity — but it is a *services capacity* gap, not necessarily an *infrastructure* gap.

- **SBA 7(a) volume:** roughly 47,678 loans / \$25.7B approved **Business Model Analyst** in a recent fiscal year, with change-of-ownership lending a growing subset (the program ran a ~\$397M negative cash flow in FY2024 — its first deficit in over a decade — and defaults rose, prompting the June 2025 SOP tightening).

Verdict on sizing: The realistic serviceable/obtainable market for a NJ/NY/CT AI broker is measured in the low thousands of transactions with meaningful enterprise value per year, not millions. The TAM narrative (\$10T) and the SOM (a few thousand financeable, sellable, employer-business deals in-corridor annually) differ by three to four orders of magnitude. Any thesis that relies on the headline number is fragile.

Question 3 — Adjacent Infrastructure Competitors

(a) AI-native / tech-enabled SMB brokerages & marketplaces. Beyond Baton, OffDeal, and Iconic: OffDeal is the most direct threat — an “AI-native investment bank” whose \$12M Series A led by Radical Ventures (Aug 2025) brought total funding to \$17M at a ~\$100M valuation; founders Ori Eldarov (ex-RBC) and Alston Lin (ex-Meta) had “launched over 30 sell-side M&A transactions” and explicitly target search funds and \$10M–\$100M revenue businesses (i.e., moving *up* from Scorta’s sub-\$2M zone). Baton (Chat Joglekar, ex-Zillow) **Substack** raised \$15.5M total (\$10M Series A Jan 2025, Obvious Ventures) and claims a 70% close rate. The broader field: Website Closers, Quiet Light, Empire Flippers, Flippa, Acquire.com, BizBuySell (CoStar-owned), BizQuest, Sunbelt, Transworld, Murphy, VR Business Brokers, Calder Capital, Axial, Tresle, Kumo, BizNexus. This is a crowded wedge with several better-funded entrants.

(b) Escrow / closing rails. Escrow.com (licensed), Tazapay, Trustap, Modern Treasury (payment operations software, not a licensed transmitter), and embedded-banking providers (Column, Lead Bank, and the cautionary Synapse model). None has locked up SMB-M&A escrow specifically — a genuine white space, but a heavily regulated one (see Q4).

(c) SBA loan & underwriting tech. Lendio, SmartBiz, Ready Capital, Live Oak Bank + nCino, Newity, plus data plumbing: Codat (Series C \$100M at ~\$825M valuation, sells to lenders), Rutter (a16z-backed, powers Ramp/Mercury and, notably, Baton Market), Railz (acquired by FIS), Ocrolus (Series C \$80M, >\$127M raised, processes lender documents at >99% claimed accuracy). These are entrenched with the *repeat institutional buyers* Scorta would need.

(d) The “credit bureau for small business” question — this is where the Scorta Score

thesis is weakest.

The proposed "FICO for Main Street" is largely **redundant with existing infrastructure**:

- **FICO SBSS already is the "FICO for small business"** — a 0–300 blended score (consumer + commercial + financials) [CRS Credit API](#) used across SBA 7(a), historically mandated as the 7(a) Small Loan prescreen. FICO has reported it is used by over 7,500 lenders. [OhioBusinessFunding](#) **Critically, the SBA sunset the SBSS prescreen mandate effective March 1, 2026** [Nav](#) (Procedural Notice 5000-875701), [NAGGL](#) replacing it with lender-choice underwriting and a 1.1x DSCR floor. [Beancount](#) If even the government-endorsed standard SMB score just lost its mandate, the bar for a *private* newcomer to achieve standard-setting status is extraordinarily high.
- **The incumbents' moat is pooled data, not math.** The SBFE (Small Business Financial Exchange) is a member-owned cooperative whose data warehouse "contains information about over 37 million small businesses in the U.S. and more than 89 million individual small business accounts" (per Credit Strong, citing SBFE), operating a "give-to-get" model — only contributing members can buy reports, and SBFE licenses exclusively to certified bureaus (D&B, Equifax, Experian, LexisNexis, bluCognition); Experian states contributed data represents "over 98 million lender accounts." D&B's PAYDEX (1–100 trade-payment score tied to the D-U-N-S number) [Dun & Bradstreet](#) and Experian Intelliscore Plus round out entrenched incumbents. Equifax's PayNet consortium holds 24M+ SMB contracts worth \$1.6T+. [WithHansa](#) A new score faces a **cold-start data problem** — the exact reason the cooperative exists.
- **Startups are already here:** Charm Solutions (\$3.5M seed, 2023, "proprietary SMB Score" sold to lenders); [FinTech Global](#) Hansa (standardizing SMB credit reporting plumbing to all bureaus + SBFE); Nav (aggregator/marketplace, ~\$90–120M raised, 100,000+ businesses helped/year — not a bureau).

Transferable vs. not — the key structural test. Qualia, Ellie Mae/ICE, Carta, and Datasite all achieved infrastructure capture under conditions that are *mostly absent* in sub-\$10M SMB M&A:

- **Repeat institutional users:** Qualia→title agents, Ellie Mae→loan officers, Carta→VCs/law firms who use it across every deal. *Sub-\$10M M&A sellers are one-time principals.* (Absent on the seller side; present on the lender/search-fund/broker side.)
- **Regulatory mandate or embedding:** FICO (GSE adoption), Ellie Mae (mortgage compliance). *No equivalent mandate exists for a saleability score.* (Absent.)
- **Multi-party workflow lock-in:** Qualia connects lender + title + agent + buyer. *Possible for Scorta, but only if it wins the repeat professionals.* (Conditionally present.)

- **Network effects among professionals:** Present for all analogues. *For Scorta, only realizable on the buy/lender side.*

The QoE-automation angle (Finsider.ai, Shepi, Rapid Diligence; pricing \$30–80K/yr for PE deployments) is the more defensible product-in-workflow because it sells to repeat buyers — but every credible source stresses AI “replaces preparation hours, not opinion,” and “QoE reports still need a signing accountant.” [CT Acquisitions](#) A fully-automated “saleability certification” bumps against the same judgment barrier.

Question 4 — Regulatory Reality Check

(a) Escrow / money transmission. Running escrow at scale requires either (i) money transmitter licenses in ~49 states (Montana exempt), which cost, per industry compilers, **\$250K–\$435K+ to obtain and \$225K–\$280K+/year to maintain**, with surety bonds ranging from \$10,000 (WA/WY) to \$500,000 (NY/KY/MI) and California up to \$7M, [Cornerstonelicensing](#) plus 3–18 month timelines per state; or (ii) partnering with a licensed trust company/bank. The realistic path is (ii). But the **2024 Synapse collapse** is the cautionary tale: commingled FBO accounts with unreconciled subledgers stranded over \$265M and 100,000+ users; the FDIC’s post-Synapse rule now mandates daily reconciliation. [Signzy](#) The “agent of the payee” exemption may apply in some states but is inconsistent and cannot be assumed nationally.

(b) SBA-adjacent facilitation. SBA SOP 50 10 rules govern “Agents” and require **Form 159** fee disclosure; there are caps and prohibitions on referral/packaging fees, prohibitions on brokers being paid by both parties, and Lender Service Provider (LSP) agreements require SBA approval. The 2023–2025 SOP changes (50 10 7, 50 10 8) tightened agent rules. Separately, state commercial-financing laws (California CFL/commercial financing disclosure, New York’s commercial financing disclosure law, and similar regimes) create risk of being deemed an unregistered loan broker.

(c) Business-broker licensing. Roughly **17 states require a real estate broker license to sell a business** — including CA, FL, GA, AZ, NV, IL (registration with the securities division), MI, MN, OR, UT, WI, and others — especially where real property or a lease transfer is involved. This is a state-by-state patchwork that materially complicates multi-state scaling. New Jersey (Scorta’s home) treatment must be confirmed with counsel, but the corridor’s tri-state footprint (NY/NJ/CT) already spans divergent regimes.

(d) Securities licensing and the central conflict. The **SEC M&A broker exemption** (Section 15(b)(13), effective March 29, 2023) [Mondaq](#) exempts brokers on deals where the target has **EBITDA < \$25M or revenue < \$250M** — comfortably covering Scorta’s sub-\$2M zone. **But per Pullman & Comley’s analysis of Exchange Act Section 15(b)(13), the exemption is unavailable if the broker “(a) receives, holds, transmits or has custody of the funds or securities to be exchanged in the transaction.”** *This is a genuine structural*

conflict: Scorta's ambition to run escrow directly contradicts the no-custody condition that keeps its brokerage exempt from SEC/FINRA registration. Scorta cannot both (a) enjoy the M&A broker exemption and (b) hold deal funds in escrow through the same entity. It would need to fully externalize escrow to a licensed third party (bank/trust) so that Scorta never has custody — which means Scorta does *not* own the money movement, undercutting the "Stripe" analogy at its most important point (Stripe's power came from owning the money rail). Note also state-level M&A broker registration under NASAA's model rule persists even where the federal exemption applies.

(e) Unauthorized practice of law. AI-generated LOIs, NDAs, and purchase agreements create UPL exposure. The precedent is mixed but instructive: the DoNotPay UPL suit (MillerKing v. DoNotPay) was dismissed for lack of standing (Nov 2023), [justia](#) but the **FTC's Operation AI Comply action forced DoNotPay to a \$193,000 settlement (finalized Feb 2025)** [Federal Trade Commission](#) for deceptive "robot lawyer" claims and prohibited it from claiming to substitute for a professional without evidence. The lesson: the litigation risk is less "practicing law" per se and more *marketing claims* about AI-generated legal documents. Scorta must keep a licensed attorney in the loop and avoid representing that its AI substitutes for legal counsel.

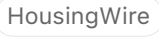
Question 5 — Sequencing Critique

Stripe's actual sequence was payments-first for roughly a decade, building trust and volume, *then* layering Atlas, Billing, Tax, Treasury, Issuing, and stablecoins. The unlock was "seven lines of code" — an instant, self-serve, *repeatedly-used* capability that a developer needed constantly.

Scorta's proposed order (brokerage → score → lender integration → escrow) is backwards in two places:

1. **Score-first cannot work.** The FICO, D&B PAYDEX, and Moody's/S&P histories are unanimous: a score becomes a standard *only when a powerful underwriter relies on it*. FICO's watershed was 1995, when Fannie Mae and Freddie Mac adopted/required it for conforming mortgages [LegalClarity](#) [Sky Blue Credit](#) — but FICO had already spent since 1956 building predictive credibility, [Substack](#) and even then it took the GSE embedding to cement dominance (~90% share, now under antitrust scrutiny, per a March 2026 Senate oversight letter). D&B took over a century; the SBFE cooperative took decades of pooled contributions. **Implication: the score must come *after* lender integration, not before. Lender-integration-first is the correct order** — Scorta should get one or more SBA lenders to *rely on* its financeability determination before it calls anything a "score." A private score with no lender relying on it is worthless, and trust requires regulatory mandate (unavailable), incumbent partnership, or a multi-year predictive track record.
2. **The real "seven lines of code" unlock is instant, credible SBA financeability — but**

delivered to the lender/buyer, not the seller. Evaluating the candidates:

- *(i) Instant SBA pre-qualification / financeability of a listed business — **strongest candidate**.* It compresses the single biggest source of deal failure (financing falling through) and is valuable to the repeat participant (the lender/buyer). This should be the wedge.
- *(ii) Automated QoE a lender will accept without redoing it — high value but blocked by the "signing accountant" judgment barrier; viable only as decision-support, not a replacement.*
- *(iii) Standardized digital deal packet flowing into lender LOS — strong infrastructure play, directly analogous to Qualia's "Post" product  feeding lender LOS; sells to repeat institutions.*
- *(iv) Buyer-side instant proof-of-funds — useful, narrow.*
- *(v) One-click data room + NDA + LOI — commoditized (Baton already offers this).*
- *(vi) Pre-sale monitoring subscription to make the seller recurring — clever but fights the frequency reality; a seller's willingness to pay a monitoring subscription years before a one-time exit is unproven.*

Who has the volume? The answer is decisive: **lenders, search funds, and PE buyers transact repeatedly; sellers do not.** In Stripe's case the developer had recurring need. In Main Street M&A, the recurring-need parties are the buy side and the capital providers. This strongly implies that **the buy-side SaaS tool for search funds is the correct near-term monetization** — it is sold to a repeat buyer with genuine frequency (search funds screen hundreds of targets), it generates proprietary deal-flow data, and it is exactly where OffDeal is aiming. Seller-side brokerage generates cash and case studies but cannot, by itself, become infrastructure.

Recommendations

Stage 1 (0–12 months) — Re-anchor on repeat participants; prove financeability.

- Prioritize the **buy-side SaaS tool for search funds and independent sponsors** as the primary growth vector, not seller-side brokerage. This is where frequency, recurring revenue, and proprietary data live.
- Build the **instant SBA financeability determination** as the "seven lines of code" wedge, and get **at least one PLP SBA lender to formally rely on it** in their workflow. *Benchmark that changes strategy:* if no lender will integrate or rely on the determination within 12 months, the "score" thesis is dead and Scorta should remain a services

brokerage.

- Keep escrow fully externalized to a licensed bank/trust so the **SEC M&A broker exemption's no-custody condition is never breached**. Do not build MTLs.
- Retain a licensed attorney in the document loop; scrub all marketing of any claim that AI "replaces" legal or accounting professionals (DoNotPay lesson).

Stage 2 (12–30 months) — Earn the data, then the score.

- Only after lender reliance exists, position the accumulated financeability/outcome data as a nascent "Scorta Score." *Benchmark:* the score is only credible once it demonstrates predictive accuracy on a statistically meaningful closed-deal sample AND a third party underwrites against it.
- Expand the standardized deal packet to flow into lender LOS systems (the Qualia "Post" analogue) — infrastructure sold to repeat institutions.
- Confirm state-by-state business-broker/real-estate-license posture before expanding beyond NJ/NY/CT; budget for the ~17-state real-estate-license patchwork.

Stage 3 (30+ months) — Selective infrastructure, only where money movement can be owned compliantly.

- Consider escrow/closing rails *only* via a bank-partnership structure with daily reconciliation (post-Synapse FDIC standard), and only if it can be done without voiding the M&A broker exemption for the core brokerage entity — likely requiring a separate legal entity.
- Direct lender integration/lending is a Stage 3+ ambition contingent on proprietary underwriting data that does not yet exist.

Thresholds that would change the plan: (a) A well-capitalized incumbent (OffDeal, Baton, or a bureau) shipping SBA financeability + lender integration first would foreclose the wedge — monitor closely. (b) SBA further deregulating agent/underwriting rules could either open or commoditize the financeability product. (c) If search-fund buy-side ARR does not reach meaningful recurring revenue by month 18, pivot back to services-brokerage economics.

Caveats

- Several market-size figures (total off-market deal volume of 120,000–390,000/yr; the McKinsey 6M-transitions/\$5T projection; "\$10T wealth transfer") are secondhand, promotional, or wide-range estimates and should be treated as directional, not precise. Vendor claims (D&B "90% of Fortune 500," Experian "99.9% of firms," Baton "70% close rate," Ocrolus ">99% accuracy") are marketing-sourced and not independently audited.

- The SBA SBSS sunset (March 1, 2026) is very recent; how many lenders continue using SBSS voluntarily versus adopting internal models is still unfolding.
- New Jersey's specific business-broker licensing treatment was not independently confirmed in this research and should be verified with counsel.
- Nav funding figures conflict across trackers (\$90M–\$179M); "Charm" is an overloaded company name (the credit-relevant entity is Charm Solutions).
- This report reflects information available as of August 2026 and takes deliberately adversarial positions per the mandate; it is a stress-test, not investment advice.

Verdict (unhedged)

The "Stripe for Main Street M&A" vision, as sequenced, will not work — but a narrower, re-sequenced version can. Three risks are decisive:

1. **Frequency asymmetry is fatal to the seller-anchored version.** Infrastructure businesses are built on repeat usage or compounding network/data effects. A seller sells once. Scorta will never become infrastructure by selling to sellers. It can only become infrastructure by selling to the repeat participants — lenders and search funds/PE — which means the buy-side SaaS tool, not seller-side brokerage, is the real company. Everything else follows from accepting this.
2. **The "FICO for Main Street" is the weakest pillar and should be demoted, not led with.** A standardized SMB score already exists (SBSS), the incumbents' moat is pooled data not algorithms, the cold-start data problem is severe, and the SBA just *removed* the one government mandate that made a standard SMB score sticky. A private score cannot achieve standard-setting status without lender reliance first, and even then the historical precedents (FICO, D&B) imply a decade-plus, not a product cycle. Score-first is precisely backwards; lender-integration-first is the only viable order.
3. **The escrow ambition structurally conflicts with the regulation that makes the brokerage legal.** Scorta cannot hold deal funds and keep the SEC M&A broker exemption. It must externalize money movement to a licensed partner — which means it does *not* own the rail, negating the single most powerful element of the Stripe analogy. Owning the money rail is what made Stripe Stripe; Scorta structurally cannot own it here without a costly, risky licensing build that the Synapse collapse shows can destroy trust overnight.

Bottom line: This is achievable as a **repeat-buyer-facing deal-infrastructure and financeability company** — a "system of record and financeability layer for the people who buy and finance Main Street businesses." It is **not** achievable as a seller-facing, score-first, escrow-owning "Stripe." The vision survives only if the CTO inverts it: sell to the frequency,

earn the data before naming the score, and let a licensed partner touch the money.